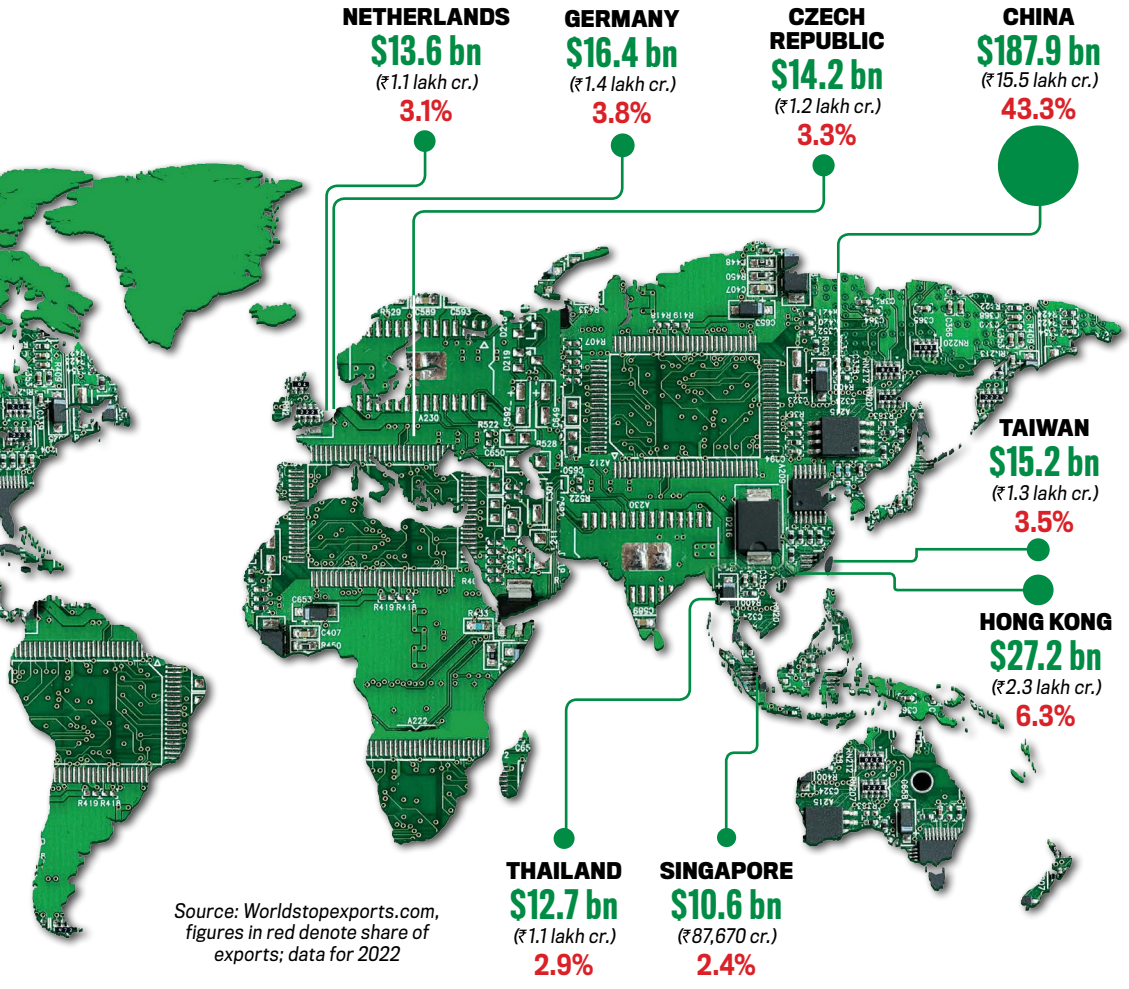
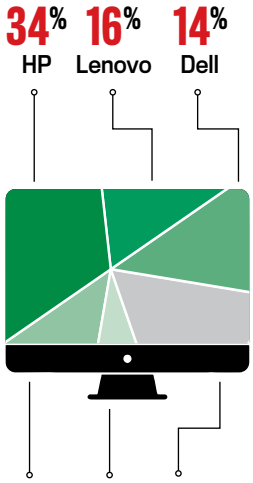


Source: Worldstopexports.com, figures in red denote share of exports; data for 2022

MARKET SHARE OF GLOBAL PC MAKERS IN INDIA



Source: International Data Corporation

import licences is against the WTO principles and would invite tit-for-tat action and punitive measures from trade partners. It can also choke the supply of these hardware and increase prices, much to the disadvantage of the consumer. "It is plainly protectionist and will encourage cost or quality inefficiency. Also, it is imperative to have free and instant access to the latest products if we are to bridge the gap in the education segment created by Covid-19," Ranade argues, "Moreover, adopting a licensing regime will not invite investments overnight. It will be difficult to change the China tag since products today can change with minor tweaks in the value chain."

Others say the move has to be seen together with other actions such as banning the export of rice in July, and of onion in 2020. On July 20 this year, India surprised the world market by banning exports of non-basmati white rice to control rising domestic prices. This followed a ban on broken rice exports last year. The ban trapped thousands of tonnes of non-basmati white rice at ports, and left traders in the lurch. In September 2020, the government banned exports of all varieties of onions, anticipating a shortfall as exports shot up 30 per cent in the April-July period. However, in October of that year, it partially eased the curbs, and the following January, lifted all restrictions on onion exports as prices started to ease in the domestic market after the arrival of the new crop. The US and Japan had taken up the issue at the WTO meetings later.

DESPITE THE GOVERNMENT'S JUSTIFICATIONS FOR ITS MOVE TO CURB IMPORTS, MANY EXPERTS SEE IT AS COUNTER-PRODUCTIVE

"The decision to impose import licensing is a kneejerk reaction that does not send positive signals to the world," says Madan Sabnavis, chief economist with the Bank of Baroda. The only relief seems to be that this is not an outright ban, but a move to control and track imports of IT hardware. According to him, the move seems to be driven by the desire to target the PLI scheme more productively. "India has a PLI scheme that is running fairly successfully when it comes to electronics—computers and mobile phones. We are importing a lot from China and then processing it and exporting it. The latest move (to